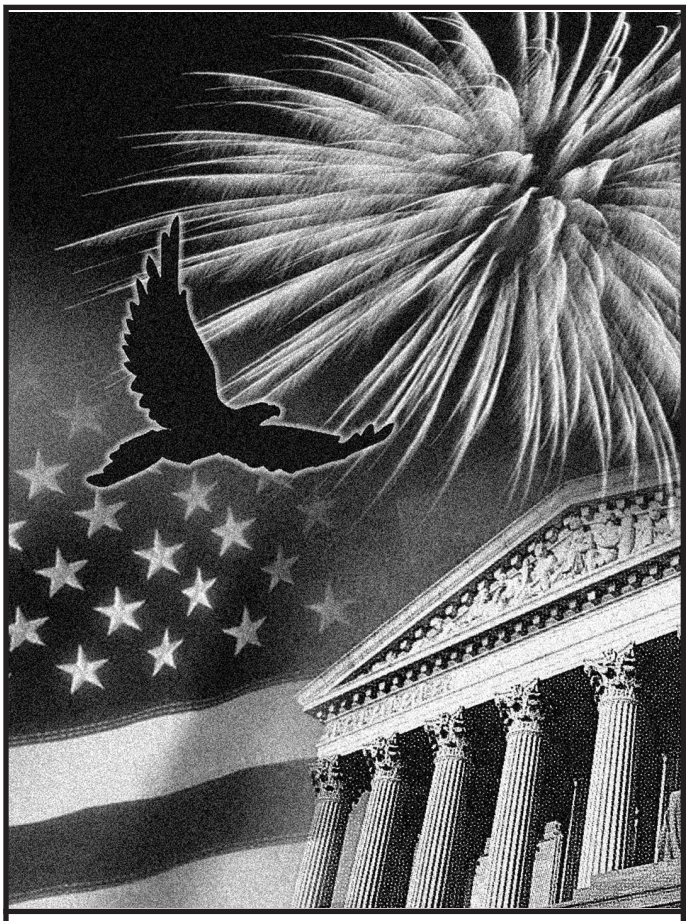
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Household Employer's Tax Guide

For use in **2020**



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Future Developments

For the latest information about developments related to Pub. 926, such as legislation enacted after it was published, go to *IRS.gov/Pub926*.

What's New

2020 federal income tax withholding. The household employer rules for federal income tax withholding have not changed. That is, you're not required to withhold federal income tax from wages you pay a household employee. You should withhold federal income tax only if your household employee asks you to withhold it and you agree. However, Form W-4 has been redesigned for 2020. Employees who have submitted Form W-4 in any year before 2020 aren't required to submit a new form merely because of the redesign. You will continue to figure withholding based on the information from the employee's most recently submitted Form W-4. While you may ask your employees hired before 2020 to submit new Forms W-4 using the redesigned version of the form, you should explain to them that they aren't required to do this and if they don't submit a new Form W-4, withholding will continue based on a valid Form W-4 previously submitted.

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		THEN you need to ...
A	Pay cash wages of $2,200 or more in 2020 to any one household employee. Don't count wages you pay to: • Your spouse, • Your child under the age of 21, • Your parent (see *Wages not counted*, later, for an exception), or • Any employee under the age of 18 at any time in 2020 (see *Wages not counted*, later, for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 15.3%[1] of cash wages. • Your employee's share is 7.65%.[1] (You can choose to pay it yourself and not withhold it.) • Your share is 7.65%.
B	Pay total cash wages of $1,000 or more in any calendar quarter of 2019 or 2020 to household employees. Don't count wages you pay to: • Your spouse, • Your child under the age of 21, or • Your parent.	Pay federal unemployment tax. • The tax is 6% of cash wages. • Wages over $7,000 a year per employee aren't taxed. • You also may owe state unemployment tax.

[1] In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You're required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold.

Note. If neither A nor B above applies, you don't need to pay any federal employment taxes. But you may still need to pay state employment taxes.

Table 2. **Household Employer's Checklist**

You may need to do the following things when you have a household employee.

When you hire a household employee:	☐ Find out if the person can legally work in the United States. ☐ Find out if you need to withhold and pay federal taxes. ☐ Find out if you need to withhold and pay state taxes.
When you pay your household employee:	☐ Withhold social security and Medicare taxes. ☐ Withhold federal income tax. ☐ Decide how you will make tax payments. ☐ Keep records.
By February 1, 2021:	☐ Get an employer identification number (EIN). ☐ Give your employee Copies B, C, and 2 of Form W-2, Wage and Tax Statement. ☐ Send Copy A of Form W-2 with Form W-3 to the SSA. Don't send Form W-2 to the SSA if you didn't withhold federal income tax and the social security and Medicare wages were below $2,200 for 2020.
By April 15, 2021:	☐ File Schedule H (Form 1040 or 1040-SR), Household Employment Taxes, with your 2020 federal income tax return (Form 1040, 1040-SR, 1040-NR, 1040-SS, or 1041). If you don't have to file a return, file Schedule H by itself.

Social security and Medicare wages. You figure social security and Medicare taxes on the social security and Medicare wages you pay your employee.

If you pay your household employee cash wages of $2,200 or more in 2020, all cash wages you pay to that employee in 2020 (regardless of when the wages were earned) up to $137,700 are social security wages and all cash wages are Medicare wages. However, any noncash wages you pay don't count as social security and Medicare wages.

If you pay the employee less than $2,200 in cash wages in 2020, none of the wages you pay the employee are social security or Medicare wages and neither you nor your employee will owe social security or Medicare tax on those wages.

Cash wages. Cash wages include wages you pay by check, money order, etc. Cash wages don't include the value of food, lodging, clothing, transit passes, and other noncash items you give your household employee. However, cash you give your employee in place of these items is included in cash wages.

Noncash wages paid to household employees aren't subject to social security taxes or Medicare taxes; however, they are subject to federal income tax unless a specific exclusion applies. Report the value of taxable noncash wages in box 1 of Form W-2 together with cash wages. Don't show noncash wages in box 3 or in box 5 of Form W-2. See *Do You Need To Withhold Federal Income Tax*, later. Also see section 5 of Pub. 15 for more information on cash and noncash wages, and Pub. 15-B for more information on fringe benefits.